

Court No. - 10

Case :- WRIT - C No. - 12870 of 2020

Petitioner :- Hasimuddin

Respondent :- State Of U.P. And 5 Others

Counsel for Petitioner :- Virendra Singh

Counsel for Respondent :- C.S.C.,Mahboob Ahmad

Hon'ble Piyush Agrawal,J.

On the request of Shri Mahboob Ahmad, learned counsel for the respondents, put up day after tomorrow i.e. **2.9.2020** as fresh.

Order Date :- 31.8.2020

T. Sinha

Court No. - 10

Case :- WRIT - C No. - 12870 of 2020

Petitioner :- Hasimuddin

Respondent :- State Of U.P. And 5 Others

Counsel for Petitioner :- Virendra Singh

Counsel for Respondent :- C.S.C.,Mahboob Ahmad

With

Case :- WRIT - C No. - 13037 of 2020

Petitioner :- Hasimuddin

Respondent :- State Of U.P. And 5 Others

Counsel for Petitioner :- Virendra Singh

Counsel for Respondent :- C.S.C.,Mahboob Ahmad

Hon'ble Piyush Agrawal,J.

1. Heard Sri Virendra Singh for the petitioner; Standing Counsel for respondents- 1, 2 and 6; Sri Mahboob Ahmad for respondents- 3, 4 and 5 and perused the record.

2. Writ Petition No. 12870 of 2020 has been filed, amongst other, for the following relief:

“(i) Issue a writ or certiorari and quash the order dated 24.10.2018 passed by Electricity Distribution Division-2, UP Power Corporation Ltd., Mugalsarai, Chandauli (Annexure No. 9 to the writ petition) and order dated 2.7.2020 passed by the Commissioner Division, Varanasi in Appeal No. C201914000000413 of 2019, Hasimuddin Vs. State of UP and others (Annexure No. 12 to the writ petition).”

Writ Petition No. 13037 of 2020 has been filed, amongst other, for the following relief:

“(i) Issue a writ or certiorari and quash the order dated 24.10.2018 passed by Electricity Distribution Division-2, UP Power Corporation Ltd., Mugalsarai, Chandauli (Annexure No. 9 to the writ petition) and order dated 2.7.2020 passed by the Commissioner Division, Varanasi (Annexure No. 12 to the writ petition).”

As the similar impugned order is being challenged by the petitioner in

both the aforesaid writ petitions as such both the writ petitions are being decided by a common order.

3. The facts of the case is that the petitioner established a plastic unit in village Bahadurpur by taking loan under Prime Minister's Employment Scheme. In pursuance thereof the petitioner also applied for two electricity connection i.e. first Account No. 0526577687 of 20 KV and the other Account No. 2569881000 of 30 KV. At the time of giving the aforesaid connections the respondents had also installed transformer of 63 KV.

4. Further petitioner's father had also applied for separate electricity connection i.e. Account No. 4181/644805 for running 5 HP pumping set for the purposes of agriculture. Since the petitioner was having two connections of 20 KV and 30 KV due to this reason, the electricity department was taking the reading of meter under M.R.I and payment of bill was regularly made by the petitioner each month. The M.R.I bills and reports clearly shows that the load of the petitioner's unit was never more than 20 and 30 KVA. The petitioner's unit was being run to one shift from 10.00 a.m. to 6.00 p.m. On 5.10.2018 at about 12.20 to 1.00 pm, an inspection was being carried out by the electricity department on the premisses of the petitioner and thereafter F.I.R. registered with Case Crime No. 395 of 2018, under Section 135 of Indian Electricity Act (Amended) 2003 at P.S. Mugalsarai, Distt. Chandauli was lodged on 5.9.2018 at 07.30 p.m. Thereafter the petitioner deposited two cheques i.e. one is Rs. 8 lakh and the other is Rs. 7 lakh, as compounding charges on 5.9.2018, which were encashed by the electricity department on 11.9.2018. The provisional assessment bill was prepared to which the petitioner has submitted the objection and thereafter the final assessment bill was prepared under the provisions of UP Electricity Supply Code, 2005. Thereafter for payment of dues, recovery citation was issued against the petitioner, which was challenged by the petitioner before this Court in Writ C No. 5391 of 2019. This Court, by the order dated 18.2.2019, had dismissed the aforesaid writ petition observing that the petitioner having the statutory remedy of appeal under the Electricity Act.

Thereafter the petitioner filed an appeal after depositing the requisite amount, before respondent-2, which was dismissed by respondent-2 on the ground that he has no jurisdiction to hear and decide the appeal.

5. Learned counsel for the petitioner submits that an assessment has been made under Section 126 of the Electricity Act against which an appeal under Section 127 of the Electricity Act, 2003 is maintainable. He further submits that against the recovery proceeding, the petitioner filed Writ C No. 5391 of 2019, which was dismissed holding that the petitioner has remedy of appeal under Section 127 of Electricity Act, 2003. Thus the impugned order passed by respondent no. 2 is not justified.

6. Admittedly, the facts of the case are not disputed that the assessment order has been passed under Section 126 of the Electricity Act against which an appeal under Section 127 of Electricity Act, 2003 can be filed before the appellate authority as prescribed. State Government by its notification dated 14.7.2006 has conferred the powers to the Commission of the division to hear and decide the appeal under Section 127 of the Electricity Act.

7. A Division Bench of this Court in **Writ C No. 69101 of 2013 (Sandeep Kesarwani Vs. State of UP and others)** decided on 11.2.2014, had an occasion to consider the following issues which is quoted below:

1) Whether in the cases where theft of electricity is alleged under Section 135 of the Act, 2003, and trial for an offence under Section 135 of the Act, 2003 is pending before the Special Court, an assessment under Section 126 of the Act, 2003 can be made by the Executive Engineer.

(2) Whether assessment under Section 126 of the Act, 2003 is not applicable with regard to the cases of theft of electricity under Section 135 of the Act, 2003, and with regard to cases of theft of electricity under Section 135 of the Act, 2003, the civil liability is to be determined only by the Special Court where the trial is pending.

(3) Whether the recovery against the petitioner issued vide citation dated 19/11/2013 is barred by Section 56(2) of the Act, 2003.

(4) Whether the final assessment dated 21/6/2013, has been made in consonance with the principles of natural justice.

In the present case, issue no. (4) as quoted above, is relevant. This Court in the aforesaid judgement, after considering the various judgements

passed by the Apex Court as well as relying upon the relevant provisions, held as follows:

.....The main issue for consideration before the High Court was that wherever the consumer consumes electricity in excess of the consumption of the contracted load, would the provisions of Section 126 of the 2003 Act be attracted. Certain observations made by the Apex Court as noted above were to the effect of highlighting distinctions between the cases of "unauthorised use of electricity" under Section 126 of the Act, 2003 and "theft of electricity" under Section 135 of the Act, 2003.

In the said judgment of the Apex Court, no such ratio has been laid down which may support the petitioner's case that in the cases of theft of electricity under Section 135 of the Act, 2003, no assessment can be undertaken under Section 126 of the Act, 2003.

Provisions of Sections 126 and 135 of the Act, 2003 has to be interpreted in a manner so as to give effect to the object and purpose of the Act, 2003. Interpretation of both the provisions is to be made in a harmonious manner to advance the object and to make both the provisions workable and effective.

8. Another Division Bench of this Court in Writ C No. 5519 of 2017 (Sanjay Singh Vs. State of UP and others) decided on 9.2.2017 held as follows:

Sri Gaurav Maurya, learned counsel appearing for the petitioner has submitted that since the First Information Report was lodged under Section 135 of the Act, proceedings should have been initiated under Chapter-VIII of the Electricity Supply Code 20052. His contention, therefore, is that the procedure as is contemplated under Clause 8.1 of the Code should have been followed and proceedings under Section 126 of the Act could not have been initiated. It is for this reason that learned counsel submitted that the petitioner can not file the appeal under Section 127 of the Act.

Sri Mahboob Ahmad, learned counsel for the respondents has, however, submitted that provisional assessment can be carried out only under the provisions of Section 126 of the Act and, therefore, the petitioner has a remedy of filing an appeal under Section 127 of the Act. In support of this, learned counsel has placed reliance upon a Division Bench judgment of this Court in Sandeep Kesarwani Vs. State of U.P. and others.

.....

It is clear from the aforesaid judgment of the Division Bench in Sandeep Kesarwani that even in a case a first information report has been lodged under Section 135 of the Act. Assessment has to be carried out under Section 126 of the Act and that the Special Court trying an offence is to finally determine the liability and after determination of civil liability for further action to be taken in accordance with the provisions of section 154(6) of the Act.

In this view of the matter, it is not possible for the Court to accept the

contention of learned counsel for the petitioner that Section 126 of the Act would not be applicable proceedings initiated are under Section 135 of the Act. As noted above, assessment can be carried out only under Section 126 of the Act.

The next issue that arises for consideration is whether the Court should entertain this petition when a statutory alternative remedy is available to the petitioner by filing an appeal under Section 127 of the Act.

The Supreme Court examined this issue in Executive Engineer, Southern Electricity Supply Company of Orissa Ltd. (SOUTHCO) and another Vs. Sri Seetaram Rice Mill, 2012(2) SCC 108 and observed that the High Court should normally decline to interfere with the final order of the assessment passed by the Assessing Officer in terms of Section 126(3) of the Act in exercise of jurisdiction under Article 226 of the Constitution of India. Such being the position, when the petitioner has a statutory alternative remedy available under Section 127 of the Code, it will not be appropriate for the Court to entertain this petition.

9. A perusal of the aforesaid division bench judgements clearly shows that the petitioner has remedy of appeal under Section 127 of Electricity Act. More so when this Court, in the case of petitioner itself, by the order dated 18.2.2019 (supra) has clearly held that as petitioner having statutory remedy of appeal under Section 127 of the Electricity Act, the Commissioner was not justified in dismissing the appeal of the petitioner on the ground that he has no jurisdiction to hear and decide the appeal of the petitioner under Section 127 of the Electricity Act.

10. In view of the above, both the writ petitions are **partly allowed**. The impugned orders dated 2.7.2020 passed by the Commissioner Division, Varanasi in Appeal No. C201914000000413 of 2019, (Hasimuddin Vs. State of UP and others) and Appeal No. C201914000000414 of 2019, (Hasimuddin Vs. State of UP and others), are hereby quashed. Both the aforesaid appeals are restored to their original numbers and same shall be decided expeditiously, preferably within a period of two months from the date of producing a copy of this order before the competent authority.

Order Date :- 2.9.2020

Rahul Dwivedi/-